

inflation, deflation, wars, riots, and zombie attacks. It does have these properties in some sense, but only because a lot of people have agreed on this logic. If the state of the world turns ugly in a serious way and the chanting crowds with the pitchforks are approaching your house, you are probably better off with canned food and a shotgun than with gold bars. Still, gold shows excellent long-term trending patterns and certainly should be included in a diversified futures strategy.

Often seen as the little brother of gold, silver has a fairly high correlation to gold, but it has its own merits as well. This metal has more industrial use and in many respects different drivers of performance. Apart from these two well-known precious metals, there is also platinum and palladium, which both at times can show truly excellent trending patterns. These two metals are less liquid than gold and silver but for a small- to medium-sized managed futures fund, they are absolutely liquid enough.

The most common futures market in base metals is copper, traded in Chicago. Most other base metals are primarily traded in London on the London Metal Exchange (LME), and are not in fact futures but forward contracts. In that exchange you can find the less exciting sounding metals such as zinc, aluminium, lead, and so on. They can be traded on the same principles as their futures brethren and the differences between the futures and forwards markets are not that significant.

Currencies

If you are not used to trading currencies, you may need some time to get used to the concept. A Euro-based investor who buys a contract of the German MDAX future is doing something very straightforward: buying a basket of stocks traded in her own currency. If the same investor buys gold futures, she is buying gold against the US dollar, which is still fairly straightforward, but when the same person buys the Mexican peso contract, she is long peso against dollar and is taking a bet on two completely different currencies. Trading currencies makes it more important to understand that in every single position, regardless of asset class or sector, you are always long something and short something. If you buy IBM shares, you are long IBM and short dollar, and so on. Yes, you might already have the cash dollars to pay with, but the acquisition of those dollars belongs to a different position with its own long and short leg.